

PRINCIPLES OF ACCOUNTS

Multiple Choice



1. X sends back \$800 of faulty goods to Y in which book of prime entry would Y record this transaction?
 - (A) General Journal
 - (B) Purchases Journal
 - (C) Sales Journal
 - (D) Sales Returns Journal
2. If the following lists of assets found on the Balance Sheet of a retail trader were to be arranged in order of liquidity, the sequence would be
 - (A) Motor Van, building, bank, fixtures, cash, debtors
 - (B) Cash, fixtures, debtors, bank, building, motor van
 - (C) Cash, bank, fixtures, debtors, motor van, building
 - (D) Cash, Bank, debtors, fixtures, motor van, building
3. Which of the following are real accounts?
 - I. Furniture A/c
 - II. Debtors A/c
 - III. Capital A/c
 - IV. Motor Van A/c
 - (A) I and II only
 - (B) I and IV only
 - (C) II and III only
 - (D) II and IV only
4. The assets of a business total \$3 200 and the liabilities total \$820. What is its capital?
 - (A) \$2 038
 - (B) \$2 380
 - (C) \$4 000
 - (D) \$4 020
5. Which of the following states the correct order of the stages in the accounting cycle?
 - (A) Journalizing, Posting to the ledger, Trial Balance, Final Accounts
 - (B) Journalizing, Trial balance, Posting to the ledger, Final Accounts
 - (C) Posting to the ledger, Journalizing, Trial Balance, Final Accounts
 - (D) Posting to the ledger, Trial Balance Journalizing, Final Accounts
6. A retailer purchases goods worth \$3 000. He receives 30 per cent trade discount and 5 per cent cash discount. How much should he pay for the goods?
 - (A) \$1 995
 - (B) \$2 095
 - (C) \$2 100
 - (D) \$2 850

7. On December 31, 1978, the Balance Sheet of Mr. J. W. Ward showed the following:

Fixed Assets	\$80 000
Current Assets	\$35 000
Liabilities	\$30 750

What was his capital?

- (A) \$45 250
 - (B) \$65 000
 - (C) \$80 000
 - (D) \$84 250
8. An article is subject to a 20% trade discount. Its list price is \$600. What is the sale price?
 - (A) \$120
 - (B) \$480
 - (C) \$580
 - (D) \$720
9. Mrs. Green is a dry goods merchant. Which of the following transactions would result in a debit to her Cash Account?
 - (A) Sold goods for cash
 - (B) Paid cash to office cleaner
 - (C) Bought goods for cash
 - (D) Paid installment on loan
10. The trial balance is a statement which helps us to
 - (A) Discover all types of errors
 - (B) Determine the arithmetical accuracy of postings
 - (C) Prove that transactions have been recorded in the proper accounts
 - (D) Prove that transactions have been correctly analysed
11. Which of the following statements describes real accounts?
 - (A) The return accounts which appears in the Trading Account
 - (B) Purchases and Sales Accounts which appears in the Trading and Profit and Loss Account.
 - (C) Records of property which appear in the Balance Sheet
 - (D) All debtors' and creditors' accounts shown in the subsidiary ledgers
12. A trader received an invoice for \$4 000 less 25% trade discount. Subsequently he returned one-eighth of the value of the goods. What amount would be entered in his Returns Outwards Account?
 - (A) \$375
 - (B) \$400
 - (C) \$450
 - (D) \$500

13. Which of the following transactions should be debited in the Cash Account?

- (A) Bought goods for cash from J. Jones
- (B) Paid office cleaner by cash
- (C) **Sold goods for cash**
- (D) Paid on loan account

14. A businessman bought a new typewriter for \$6 000. He paid \$4 000 in cash and traded in his old typewriter. What is the entry to record this transaction?

	DR	CR
(A) New typewriter	\$6 000	
Old typewriter		2 000
Cash		4 000
(B) Old typewriter	2 000	
Cash	4 000	
New typewriter		6 000
(C) New typewriter	4 000	
Cash	2 000	
Old typewriter		6 000
(D) Old typewriter	2 000	
Cash	4 000	
New typewriter		6 000

15. Which of the following groups would be regarded as examples of current assets?

- (A) Vehicles, equipment, machinery, typewriter
- (B) Debtors, stocks, creditors, cash at bank
- (C) Bank overdraft, machinery, debtors, stock
- (D) **Stock, cash at bank, debtors, cash in hand**

16. Goods previously bought for \$90 are returned by the buyer to D. Fine. How should this be recorded in the buyer's journal?

- (A) **Dr. D. Fine's A/c**
Cr. Returns Outwards A/c
- (B) Dr. D. Fine A/c
Cr. Returns Inwards A/c
- (C) Dr. Returns Inwards A/c
Cr. D. Fine's A/c
- (D) Dr. Returns Outwards A/c
Cr. Goods A/c

Item 17–18 refer to the Balance Sheet below

Balance Sheet of Boot's Sports Store as at Dec. 31, 1992.

	\$		\$
Capital	12 000	Land & Buildings	9 000
+ Net Profit	<u>4 000</u>	Motor Van	5 000
	16 000	Fixtures & fittings	600
- Drawings	<u>500</u>	Stock	450
	15 500	Debtors	250
Creditors	<u>2 100</u>	Bank	2 000
		Cash	<u>300</u>
	<u>17 600</u>		<u>17 600</u>

17. The amount for total fixed assets is

- (A) \$ 9 000
- (B) \$14 000
- (C) **\$14 600**
- (D) \$15 050

18. The amount for the total current assets is

- (A) \$2 550
- (B) **\$3 000**
- (C) \$3 600
- (D) \$8 600

Item 19 refers to the following information

	Cash A/c	
	\$	\$
Opening balance	400	3.5.94 Rent 50
1.5.94 Sales	150	7.5.94 Wages 20
7.5.94 Sales	75	9.5.94 Tax 150
	<u>625</u>	Closing balance <u>405</u>
		<u>625</u>

19. From the account above, which of the following figures will be posted to the trial balance?

- (A) \$150
- (B) \$400
- (C) **\$405**
- (D) \$625

20. An increase in drawings will result in

- (A) An increase in long-term liabilities
- (B) **A decrease in capital**
- (C) A decrease in current liabilities
- (D) An increase in capital

21. A credit balance in the Cash Book indicates that

- (A) There is a balance in the bank
- (B) Too much cash is paid out of the office
- (C) **The bank balance is overdrawn**
- (D) Too many discounts are allowed

22. Which of the following are functions of a bookkeeper?

- I. Analysing
- II. Interpreting
- III. Posting
- IV. Recording

- (A) II and III only
- (B) **III and IV only**
- (C) I, II and III only
- (D) I, II and IV only

- (C) The supplier has paid \$8000
(D) The supplier owes \$8000

35. At the end of the year, the capital of a business was \$33 000. At the beginning of the year, the capital was \$28 000. During the year, the owner withdrew for personal use \$2 000. What is his net profit for the year?

- (A) \$5 000
(B) \$7 000
(C) \$30 000
(D) \$61 000

36. The maximum capital a company can issue to the public is called

- (A) **Authorised capital**
(B) Issued capital
(C) Subscribed capital
(D) Paid up capital

37. A limited liability company is owned by

- (A) The state
(B) **Private shareholders**
(C) The public at large
(D) A limited number of partners

38. Which of the following tasks would NOT normally be carried out by a book-keeper?

- I. Keeping the journal
II. Extracting the trial balance
III. Drawing up the balance sheet
IV. Auditing the accounts

- (A) I and II only
(B) I and III only
(C) II and IV only
(D) **III and IV only**

39. When comparing the books of a company with the books of a sole trader, which of the following items on a Balance Sheet would differ MOST in presentation?

- (A) **Capital**
(B) Current Assets
(C) Current Liabilities
(D) Fixed Assets

40. Which of the following transactions will NOT be recorded in the Purchases Day Book of a grocery shop?

- (A) Bought from K. Leen goods \$500
(B) Purchased goods on credit \$975
(C) Bought chicken on credit \$100
(D) **Purchased cash register on credit \$1 200**

Cash at bank and in hand	5 000
Trade debtors	2 400
Stock in hand	4 600
Accrued expenses	700
Trade creditors	4 800

41. What is the working capital?

- (A) \$5 000
(B) **\$6 500**
(C) \$7 200
(D) \$11 300

42. A trader had an opening capital of \$3 900. His drawings were \$900 and his closing capital was \$4 860. What was the net profit?

- (A) \$900
(B) \$960
(C) **\$1 860**
(D) \$3 000

43. An employee works for 45 hours each week. He is paid \$4 per hour for a basic 40-hour week and \$6 per hour for overtime. His gross weekly wage is

- (A) \$180
(B) **\$190**
(C) \$240
(D) \$270

44. What would be the effect on a firm's Balance Sheet of the purchase of equipment on credit?

- (A) Asset increased; liability decreased
(B) **Asset increased; liability increased**
(C) Asset decreased; liability increased
(D) Asset decreased; liability decreased

45. Mr. Jones business began the month with an overdraft of \$1 200. During the month, total deposits were \$2 000 and total payments were \$600. What was the Cash Book balance at the end of the month?

- (A) **Credit balance of \$200**
(B) Debit balance of \$200
(C) Credit balance of \$600
(D) Debit balance of \$1 400

46. A business operates its petty cash on the imprest system. At the beginning of the month, the petty cashier was given \$200 out of which she spent \$152. How much will she be reimbursed?

- (A) \$48
(B) **\$152**
(C) \$200
(D) \$352

- (B) Locating errors
(C) Increasing profits
(D) Limiting drawings

76. What is the balance of cash at the end of the month for a club which showed the following Summary of Receipts and Payments at the end of the month?

Subscription received	\$300
Rent paid	60
Purchase of games and Equipment	150
Postage of circulars	20
Proceeds from book sale	250

- (A) \$180
(B) \$280
(C) \$320
(D) \$620

Item 77 refers to the following extract from T. Armand's Balance Sheet

Closing capital	\$4 500
Net Profit	1 250
Drawings	750

77. What was his opening capital?

- (A) \$2 500
(B) \$4 000
(C) \$5 000
(D) \$6 500

78. Tom, Percy and John formed a partnership and agreed that profits were to be shared in the ration 1:1:2 respectively. The net profit for the year was \$18 900. What was John's share of profit?

- (A) \$4 725
(B) \$9 450
(C) \$14 175
(D) \$18 900

79. A business has total assets valued at \$225 000 and total liabilities at \$ 97 000. The owner values the business at \$150 000. What is the goodwill?

- (A) \$22 000
(B) \$53 000
(C) \$75 000
(D) \$128 000

80. Which of the following would cause the Cash Book to disagree with the Bank Statement?

- I. Bank charges were not entered in the Cash Book
II. Cheques were drawn and presented for payment on the same dates
III. Bank transfer was not entered in the Cash Book

IV. Bank deposit was not shown on the Bank Statement

- (A) I, and III only
(B) III and IV only
(C) I, III and IV only
(D) II, III and IV only

81. Under which of the following conditions would a trial balance still balance?

- I. A transaction was completely left out.
II. Both a debit and credit entry were overstated by the same amount
III. A debit entry was left out.
IV. Both a debit and a credit entry were understated by the same amount.

- (A) I, II and III only
(B) I, II and IV only
(C) I, III and IV only
(D) II, III and IV only

82. A trader sent Mr. Jones an invoice charging him for 10 articles at \$68 each instead of \$65 each. Which type of note should the trader subsequently send to Mr. Jones?

- (A) Promissory note
(B) Advice note
(C) Debit note
(D) Credit note

Smith, Brown and Robinson are partners who share profits in the proportion of their capitals of \$5000, \$2000 and \$1000 respectively.

Net Profit is \$7 100
Interest on capital is 5%
Robinson is paid a salary of \$300

83. Total interest on capital is

- (A) \$50
(B) \$100
(C) \$250
(D) \$400

84. Robinson's share of the net divisible profit is

- (A) \$800
(B) \$1 600
(C) \$4 000
(D) \$6 400

85. Smith's current account is credited with

- (A) \$1 175
(B) \$1 700

95. Which of the following items are related to a consumer cooperative?

- I. Patronage Dividends
- II. Ordinary Dividends
- III. Dividends on capital
- IV. Preference Dividends

- (A) I and III only
- (B) I and IV only
- (C) II and III only
- (D) II and IV only

96. On May 1, a petty cashier received an imprest of \$150. During the month, petty cash expenses amounted to \$77.00 and \$2.00 was received from a member of staff who made a personal telephone call. How much cash is needed to restore the imprest on May 31?

- (A) \$73.00
- (B) \$75.00
- (C) \$77.00
- (D) \$150.00

97. Which of the following must be filed with the Registrar of Companies to establish a PRIVATE Joint Stock Company?

- I. Articles of Association
- II. Memorandum of Association
- III. Share Certificates
- IV. Prospectus

- (A) I and II only
- (B) I and IV only
- (C) II and III only
- (D) III and IV only

98. In the trading account, returns outwards is deducted from

- (A) Carriage outwards
- (B) Carriage inwards
- (C) Purchases
- (D) Sales

Item 99 refers to the following information.

	ASSETS	LIABILITIES	CAPITAL
	\$	\$	\$
I	100 000	50 000	40 000
II	250 000	100 000	150 000
III	15 000	22 000	8 000

99. In which of the cases above does a 'loss' exist?

- (A) I and II only
- (B) II and III only
- (C) III only
- (D) I, II and III

100. Which of the following tasks must be completed in payroll accounting before a trial balance can be prepared?

- I. Providing the payroll register
- II. Posting the payroll totals
- III. Recording payment of employees and payroll returns
- IV. Preparing employees income-tax returns

- (A) I and II only
- (B) I and IV only
- (C) II and III only
- (D) II and IV only

101. The process of putting financial records in their analysis form is called

- (A) Accounting
- (B) Adjusting
- (C) Record keeping
- (D) Decision making

102. Joanne Barrett is a dressmaker. She buys 100 metres of material from S. Wright for \$100 cash. The correct double entry for this transaction in Barrett's ledger would be to

- (A) Dr. Materials A/c; Cr. S. Wright's A/c
- (B) Dr. Materials A/c; Cr. Cash A/c
- (C) Dr. Cash A/c; Cr. S. Wright's A/c
- (D) Dr. Cash A/c; Cr. Materials A/c

103. Mr. Harry, a grocer, bought a typewriter on credit from Tan Company. Which of the following journal entries will be made for this transaction in Mr. Harry's books?

- (A) Dr. Purchases A/c; Cr. Tan A/c
- (B) Dr. Typewriter A/c; Cr. Cash A/c
- (C) Dr. Tan A/c; Cr. Purchases A/c
- (D) Dr. Typewriter A/c; Cr. Tan Company

104. The account which discloses the gross profit or loss is called the

- (A) Profit and Loss A/c
- (B) Appropriation A/c
- (C) Trading A/c
- (D) Cash A/c

105. Which of the following claims are ranked in order of priority, if a company is liquidated?

- (A) Ordinary Shares, preference shares, debentures
- (B) Debentures, ordinary shares, preference shares
- (C) Preference shares, ordinary shares, debentures
- (D) Debentures, preference shares, ordinary shares

- (A) Private company
- (B) Public limited company
- (C) **Partnership**
- (D) Proprietorship

168. In converting from 'single entry' to 'double entry', the source from which details will be extracted is the

- (A) General Ledger
- (B) Subsidiary Books
- (C) **Statement of Affairs**
- (D) Bank Reconciliation Statement

169. Which of the following accounts show how profits and losses are shared among partners?

- (A) Profit and Loss Account
- (B) **Appropriation Account**
- (C) Current Account
- (D) Income and Expenditure Account

170. When a company issues new shares at a price above face value, the increase is

- (A) Gross Profit
- (B) Net Profit
- (C) **Capital Profit**
- (D) Normal Profit

171. The reward of profit received by a shareholder in a limited company is called

- (A) Commission
- (B) Interest
- (C) Drawings
- (D) **Dividends**

Item 172 refers to the extract from the records of a business, shown below.

Opening Capital	1 000
Closing Capital	2 000
Drawings	400
Additional Capital	600

172. According to the information given above, the resulting position is a

- (A) Profit of \$1 000
- (B) Loss of \$1 000
- (C) **Profit of \$800**
- (D) Loss of \$800

173. A credit balance b/f in the Sales Ledger Control A/c represents an overpayment

- (A) To creditors
- (B) By debtors
- (C) **To debtors**

(D) By creditors.

174. Employees of a business are entitled to annual profit sharing bonus of 20%. Profit for the year was \$10 000 before tax and bonus. If tax is to be 30%. What is the amount for bonus?

- (A) **\$1 400**
- (B) \$2 000
- (C) \$4 400
- (D) \$7 000

Item 175 refers to the following information:

Stock at Jan. 1, 1994	\$ 500
Purchases during the month	\$1 200
Cost of goods sold	\$1 400

175. What is the stock at the end of January?

- (A) **\$ 300**
- (B) \$ 700
- (C) \$ 500
- (D) \$1 200

176. The purpose of an appropriation account is to

- (A) Change capital expenditure as agreed upon in the Articles of Association
- (B) **Show how the net profit is distributed in a partnership or co-operative**
- (C) Make appropriate changes related to net profit as agreed upon in the Articles of Association
- (D) Enter all capital and revenue expenditure as stipulated in the Partnership Act

177. In which book would a trader enter the writing-off of a debt of a bankrupt customer?

- (A) Sales Journal
- (B) **General Journal**
- (C) Returns Journal
- (D) Purchase Journal

178. Credit notes issued for goods returned by customer will be entered firstly in the

- (A) Returns outwards book
- (B) **Returns inward book**
- (C) Sales returns and allowances account
- (D) Purchases returns and allowances account

179. A Suspense Account was opened for an error of \$30 found in the trial balance. Later it was observed that sales were understated by \$30. This item would be corrected in the journal by

- (A) Dr. Trading,
Cr. Suspense
- (B) Dr. Suspense,
Cr. Goods

- (C) \$10.00
(D) \$20.00

145. Which of the following when overcasted would result in a fall in the cost of production?

- (A) Purchase of raw materials \$20 000
(B) Closing stock of raw materials \$10 000
(C) Direct labour \$30 000
(D) Factory overheads \$45 000

146. The purpose of book-keeping in business is to

- (A) detect financial difficulties in the business
(B) record transactions in a prescribed manner
(C) design a system for records in the business
(D) interpret financial statements of the business

Item 147 refers to the following information

Motor Vehicle	\$2 000
Creditors	3 000
Debtors	2 000
Capital	11 000
Buildings	10 000

147. The table above shows a list of balances. What is the total of the assets?

- (A) \$12 000
(B) \$13 000
(C) \$14 000
(D) \$15 000

Items 148 - 150 refer to the balance sheet below.

**Balance Sheet of Beta Shoe Store
As at September 30, 1990**

	\$	\$		\$	\$
Capital at start	24 000		Leaschold Premises	10 000	
Less loss for the year	<u>2 200</u>		Furniture, Fittings and Equipment		14 500
	21 800				
Less Drawings	<u>1 800</u>		Inventories (Stock)	2 500	
		20 000	Debtors	3 700	
Creditors	2 100		Bank Current A/c	2 100	
Accrued Expenses	<u>1 200</u>		Cash in Hand	<u>500</u>	
		3 300			8 800
					<u>23 300</u>
		23 300			

148. The total assets are

- (A) \$11 200
(B) \$14 500
(C) \$20 000
(D) \$23 300

149. The working capital is

- (A) \$2 600
(B) \$5 500
(C) \$6 200
(D) \$6 800

150. The closing capital is

- (A) \$20 000
(B) \$20 700
(C) \$21 800
(D) \$22 800

151. Which of the following is entered in the Purchases Account of a grocery?

- (A) Goods for sale
(B) Duplicating machines
(C) Typewriters
(D) Office stationery

152. Which of the following are nominal accounts?

- (A) Machinery and plant
(B) Stock and debtors
(C) Creditors and fixtures
(D) Wages and rent

153. Two methods of stock evaluation, Last in First Out and First in First Out, were compared after calculating a closing stock of 50 units. L.F.O. gave a closing stock of \$350 and F.I.F.O. gave a closing stock of \$400. What conclusion can be drawn from this?

- I. Prices were rising.
II. Prices were falling.
III. Prices were neither rising nor falling.
IV. Profit will be understated if L.I.F.O. is used.

- (A) I only
(B) II only
(C) II and IV only
(D) III and IV only

154. If closing stock is 900 units, the purchases 7 000 units, the sales 6 500 units, the cost price per unit \$1.50 and the selling price per unit is \$2.00, then the cost of the closing stock is

- (A) \$1 400
(B) \$1 600
(C) \$2 100
(D) \$2 800

Item 155 refers to the following information.

Carriage Inwards	125
Sales	5 500
Returns Inwards	365
Purchases	4 520
Closing Stock	920

Using the information above, what is the cost of goods sold?

114. What are the corresponding ledger entries?

- (A) I and III only
 (B) I and IV only
 (C) II and III only
 (D) III and IV only

115. A and B had a partnership and shared profits and losses $\frac{2}{3}$ and $\frac{1}{3}$ respectively. They admitted C to partnership. In addition to capital, C had to pay for Goodwill \$3 600. How much did A and B receive as their respective share of Goodwill?

- (A) A receives \$1 200
 B receives \$2 400
 (B) A receives \$2 400
 B receives \$1 200
 (C) A receives \$1 800
 B receives \$3 600
 (D) A receives \$3 600
 B receives \$3 600

116. Mr. A. Jones paid \$250 for repairs to machinery. This transaction was entered in the Cash Book and posted to the ledger. How was this transaction recorded?

- (A) Debit Cash A/c; Credit Repairs A/c
 (B) Debit Cash A/c; Credit Machinery A/c
 (C) Debit Repairs A/c; Credit Cash A/c
 (D) Debit Machinery A/c; Credit Cash A/c

Item 117 refers to the information below which was taken from the books of John Smith, a grocer.

T. Samm owed J. Smith	\$75
J. Smith owed W. Wallace	\$40
A. Blackie loaned J. Smith	\$75

117. Whose account would appear in the ledger of J. Smith as a debtor?

- (A) J. Smith A/c
 (B) T. Samm A/c
 (C) W. Wallace A/c
 (D) A. Blackie A/c

Item 118 refers to the following information:

Fixed Assets at cost	20 000
Accumulated depreciation to date	1 000
Rate of depreciation per annum	10%

118. How much would be provided for depreciation this year using the reducing balance method?

- (A) \$1 000
 (B) \$1 900
 (C) \$2 000
 (D) \$2 100

Items 119 – 121 refers to the following information

J. Baynes Manufacturing A/c for the period ending Dec. 31, 1992			
Stock of Raw materials 1.1.92	800	Balance c/d	6800
Purchases of raw material during the year	4500		
	5300		
Less closing stock of raw materials 31.12.92	1200		
	3900		
Production wages	1300		
Fuel and power	900		
Lubricants	100		
Rent and rates	400		
Insurance	200		
	6800		6800

119. What is the cost of raw materials available for production?

- (A) \$800
 (B) \$3 900
 (C) \$4 500
 (D) \$5 300

120. What is the cost of raw materials consumed?

- (A) \$800
 (B) \$1 200
 (C) \$3 900
 (D) \$4 500

121. What is the prime cost?

- (A) \$3 900
 (B) \$5 200
 (C) \$5 300
 (D) \$6 800

Item 122 refers to the following figures taken from a manufacturing account

Prime costs	29 950
Factory overheads	11 250
Direct manufacturing wages	22 000

122. What is the cost of raw materials consumed?

- (A) \$7 950
 (B) \$8 700
 (C) \$11 750
 (D) \$33 000

123. P is to join X and Y in partnership. P brings to the partnership as capital, furniture valued \$3 000 and a motor van \$5 000. In addition, he is to pay a premium of \$1 000 to be shared between X and Y. How much would be the amount of P's capital?

- (A) \$4 000
 (B) \$6 000
 (C) \$8 000
 (D) \$9 000

Item 190 refers to the following Appropriation Account:

Appropriation Account			
	\$		\$
Taxation reserve	10 000	By balance	894.50
Preliminary	250	Net profit	26 106.50
Transfer to general reserve	4 000		
Preference share dividend	1 200		
Ordinary share dividend	6 000		

190. What conclusions could be drawn from the above Appropriation Account?

- I. The company has recently come into existence.
- II. The company is engaged in profitable enterprise.
- III. The company is not doing too well.
- IV. More dividends can be given to the ordinary shareholders.

- (A) II and IV only
- (B) III and IV only
- (C) I, II and IV only
- (D) I, III and IV only

191.

Cost of raw materials	\$ 7 800
Manufacturing wages	\$21 000
Rent and taxes	\$ 1 000
Indirect wages	\$ 9 000
Royalties	\$ 200
Machinery depreciation	\$ 600
General Expenses	\$ 400

From the factory expenses given in the above table what is the production cost of goods manufactured?

- (A) \$29 000
- (B) \$30 000
- (C) \$39 000
- (D) \$40 000

192. Prime Cost is \$79 110 and overheads is \$4 720. What is the cost of production?

- (A) \$ 4 720
- (B) \$74 390
- (C) \$79 110
- (D) \$83 830

193. B. Black purchased goods for \$400 and received 10% discount. Later he returned goods worth \$100, because they were faulty. How much did he receive for the goods returned?

- (A) \$ 10
- (B) \$ 40
- (C) \$ 90
- (D) \$1 000

194. A statement that gives the financial position of a business at a specific date is a

- (A) Trial balance
- (B) **Balance Sheet**
- (C) Trading Account
- (D) Working Paper

195. An invoice is a document made out when goods are

- (A) Overcharged
- (B) Returned
- (C) Undercharged
- (D) **Sold**

196. Which of the following assets is the MOST liquid?

- (A) **Cash**
- (B) Debtors
- (C) Equipment
- (D) Stock

197. The petty cash system saves time in the posting of expenses to the nominal accounts because

- (A) **A small number of payments is involved**
- (B) An analysis system is involved
- (C) The imprest position is always restored
- (D) Petty cash vouchers are used.

198. What are the functions of a book-keeper?

- I. Analysing
- II. Interpreting
- III. Posting
- IV. Recording

- (A) Machinery and plant
- (B) Stock and debtors
- (C) Creditors and fixtures
- (D) Wages and rent

233. Which of the following is NOT classified as direct material?

- (A) Lumber in a furniture shop
- (B) Fuel oil for furniture workshop engine
- (C) Carriage inwards on limestone in a cement factory
- (D) Transistors purchases for radio assembly plant

234. The principal document to be registered with the Registrar of Joint Stock Companies, which would determine the rights of the members in a private company is the

- (A) Memorandum of Association
- (B) Prospectus
- (C) Certificate of Incorporation
- (D) Articles of Association

Item 235 refers to the following information

Debtors at start of the year	\$8 200
Cash received from debtors	
During the year	17 400
Debtors at the end of the year	9 300

235. The above information was provided by a trader. How much were his credit sales for the year?

- (A) \$16 300
- (B) \$18 500
- (C) \$25 600
- (D) \$26 700

236. The assets in the Balance Sheet of a sole trader are listed in

- (A) Order of liquidity
- (B) Order of permanence
- (C) Alphabetical order
- (D) Chronological order

237. Invoices sent to customer are entered in the

- (A) Sales Journal
- (B) Purchases Journal
- (C) Return Inwards Journal
- (D) Return Outwards Journal

238. A partner has a "one sixth ($\frac{1}{6}$) interest" in a consulting partnership. This means one sixth ($\frac{1}{6}$) of the

- (A) Profits only

- (B) Losses and profits
- (C) Capital only
- (D) Profits, losses and capital

237. Given the following information for a firm, what is the closing capital?

Opening capital	\$ 500
Total closing assets	\$4 000
Total closing liabilities	\$1 000

- (A) \$1 400
- (B) \$2 500
- (C) \$3 000
- (D) \$3 500

238. A club had 100 members and the subscription is \$1 per year. However, three members paid \$2 each because they owed for the previous year and one member paid for the next member paid for the next year. The others paid the annual subscription. What is the income from subscription for that year?

- (A) \$ 96
- (B) \$100
- (C) \$103
- (D) \$104

239. The summarized position of Foster and Scott Limited at March 6, 1996 was:

Current liabilities	60 000
Current assets	100 000
Fixed assets	200 000
Long term liabilities	150 000

What was the capital of Foster and Scott Limited at March 6, 1996?

- (A) \$ 40 000
- (B) \$ 90 000
- (C) \$150 000
- (D) \$190 000

240. Which of the following BEST describes a trial balance

- I. A list of balances of accounts
- II. A financial statement
- III. An account
- IV. A check on the accuracy of the double entry system

- (A) I and II only
- (B) I and IV only
- (C) I, II and III only
- (D) I, III and IV only

210. Which of the following gives a correct definition of the 'double entry' system of accounting?

- (A) Every account is recorded twice.
- (B) Every transaction is concerned with at least two accounts
- (C) Every entry is recorded twice.
- (D) Every two entries are recorded in the same account.

211. The excess of the income over the expenditure of a non-profit-making organisation is called

- (A) Gross Profit
- (B) Net Profit
- (C) Accumulated Fund
- (D) Surplus

212. John Jones paid his employees' wages in cash. How will he record this payment in his books?

- (A) Debit Wages A/c
Credit Employees' A/c
- (B) Debit Employees' A/c
Credit Wages A/c
- (C) Debit Wages A/c
Credit Cash A/c
- (D) Debit Cash A/c
Credit Wages A/c

213.

Cost of goods sold	\$ 68 000
Sales	100 000
Selling Expenses	8 000
Administrative Expenses	12 000
Reserves appropriated for the Current year	3 000

From the table above, what is the maximum amount that could be used for dividends?

- (A) \$ 6 000
- (B) \$ 9 000
- (C) \$12 000
- (D) \$15 000

214.

W's Capital:	\$300
X's Capital:	\$200
Y's Capital:	\$100
Z's Capital:	\$300

W, X, Y and Z are partners sharing profit and loss in proportion to their capital. What is Z's share of profit of \$72?

- (A) \$ 8
- (B) \$12
- (C) \$18
- (D) \$24

215. For a firm, which of the following performs the same functions as a club's Income and Expenditure Account?

- (A) Petty Cash Book
- (B) Profit and Loss Account
- (C) Cash and Bank Account
- (D) Balance Sheet

Item 216 – 217 refers to the following information.

The table below gives the assets and liabilities of A. Jackman, a sole trader, at a certain time.

Assets	\$	Liabilities	\$
Cash in hand	55	Bank overdraft	1 750
Prepaid rent	120	Creditors	1 250
Furniture & Fittings	800	Wages due	75
Debtors	1 650		
Land & buildings	8 000		
Cash at bank	1 500		
Motor Vehicles	4 000		
Stock	800		

216. His current assets is

- (A) \$2 625
- (B) \$3 125
- (C) \$4 005
- (D) \$4 125

217. His capital is

- (A) \$13 750
- (B) \$13 850
- (C) \$14 750
- (D) \$14 850

These general instructions refer to item 218 – 225.

For each group of items below, there is a common set of options labeled (A), (B), (C), and (D). In answer to EACH item an option may be used more than once, once or not at all.

Item 218 – 220 are based on the information below.

Extract from Trading Account of a trader	
Sales	\$36 000
Purchases	22 000
Gross Profit	11 000
Closing Stock	6 000
Sales Returns	1 000
Opening Stock	8 000

- (A) \$ 7 000
- (B) \$ 9 000
- (C) \$24 000
- (D) \$30 000

218. What is the Cost of goods sold? C

219. What is the stock available? D

220. What is the average stock held? A

Item 241 refers to the following information.

	\$		\$
Bank balance August, 1994	700	Stocks July 31, 1995	2 000
Purchase of refreshments	500	Donations to charity	200
Purchase of furniture	500	Depreciation of furniture	50
Sale of equipment	600	Proceeds from raffle	1 500

241. What is the bank balance in the Receipts and Payments Account for the year ended July 31, 1995?

- (A) \$ 900
- (B) \$1 600
- (C) \$2 850
- (D) \$3 950

242. Patrick is to join Dennis and Tony in partnership. Patrick brings to the partnership as capital, furniture valued at \$3 000 and a motor van worth \$5 000. In addition, he is to pay a premium of \$1 000 to be shared between Dennis and Tony. How much would be the amount of Patrick's capital?

- (A) \$4 000
- (B) \$6 000
- (C) \$8 000
- (D) \$9 000

243. K. Khan, a debtor of A and B Enterprises settles his debt of \$120 less 2 ½% discount, by cheque. The double entry in the books of A and B Enterprises should be

- (A) Dr. K. Khan \$117
- Dr. Discount Received \$ 3
- Cr. Bank \$120
- (B) Dr. K. Khan \$117
- Dr. Discount Allowed \$ 3
- Cr. Bank \$120
- (C) Dr. Bank \$117
- Dr. Discount Allowed \$ 3
- Cr. K. Khan \$120
- (D) Dr. Bank \$117
- Cr. Discount Received \$ 3
- Cr. K. Khan \$120

244. Company X is legally allowed to sell 40 000 shares at \$5 000 par value. 30 000 of those shares were taken up by the public, but the company only collected \$100 000 initially. All shares were sold at par value.

How much was the authorized capital?

- (A) \$ 50 000
- (B) \$100 000
- (C) \$150 000
- (D) \$200 000

245. Goods were bought from James Holt for cash.

Which of the following is the correct double-entry to record the transaction?

- (A) Debit Purchases A/c
- Credit James Holt A/c
- (B) Debit Purchases A/c
- Credit Cash A/c
- (C) Debit James Holt A/c
- Credit Cash A/c
- (D) Debit Cash A/c
- Credit James Holt A/c

246. Peter, Gail and John formed a partnership. When the partnership deed was drawn up no mention was made as to how profits and losses were to be divided. How should the profits be shared among them?

- (A) In proportion to their capital contributed
- (B) In ratio to how much work is done by each partner
- (C) Divided equally among the three partners
- (D) Divided in accordance with each partner's age

